Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	A02 - 1 mark Award 1 mark for a valid external factor in the context of the business. • A change in demand patterns could lead to people buying more organic farmed produce (1). Accept any other appropriate response.	**(1)**

Question Number	State one reason why NOF might use other retailers to sell its products Answer	Mark
2 (b)	A02 - 1 mark Award 1 mark for a valid reason of using retailers in the context of the business. • NOF is able to sell its organic farmed produce to other outlets giving it a wider market (1). Accept any other appropriate response.	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Explain one benefit to a business of using secondary market research Answer	Mark
2 (c)	A01 - 3 marks Award 1 mark for identification of a benefit to a business of using secondary market research, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • Businesses save money by not carrying out the research themselves (1) as the information is freely accessible on the internet (1) and they can access a large amount of information at no cost (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Explain one limitation of a cash flow forecast when making business decisions Answer	Mark
2 (d)	A01 - 3 marks Award 1 mark for identification of a limitation of a cash flow forecast, plus 2 further marks for explaining this limitation, for a maximum of 3 marks. • A limitation is that it is a forecast not actual figure (1). The forecast does not show what happens if goods are not sold (1) or provide a contingency plan if this occurs (1). NB Answers that list three limitations with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain one benefit to a business of using crowdfunding as a source of finance Answer	Mark
2 (e)	A01 - 3 marks Award 1 mark for the identification of a benefit of using crowdfunding as a source of finance, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Crowdfunding can be a fast way to raise finance (1) from many small investors (1) when no other lender may be available (1) NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	NOF is considering two options to introduce the product into the market: Option 1: offering a low introductory price for three months Option 2: selling at the same price as competitors. Justify which one of these two options NOF should choose. Indicative content	Mark
2 (f)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – By offering an introductory price could entice shoppers in the farm shop to try the popcorn. • Option 2 – Customers might recognise the farm's name so will buy the popcorn when comparing to its competition. AO3 • Option 1 – This could lead to an increase in sales due to the low price and will increase revenue. • Option 2 – NOF could see an increase in customers as it is a local brand that people trust so are more willing to buy a new product that it launches. AO4 • Option 1 – However, the profit on each bag of popcorn will be low even though sales may increase so in the short-term profits might suffer. • Option 2 – However, as they do not have an established brand of popcorn customers may choose to buy a more popular branded popcorn they know.	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 1 of 47 · Question 2 part e · 3 marks

2021 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term remuneration Answer	Mark

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 2 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 2 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 2 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 2 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 3 of 47 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B - Shares are traded on the stock exchange** A is not correct because a plc is not controlled by the government C is not correct because a plc can have more than 50 shareholders D is not correct because there is no restriction in transfer of shares	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is C – Finance** A is not correct because Human resources looks after people B is not correct because Marketing identifies customers' needs D is not correct because Production is making goods	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is A - 12.5%** B is not correct because Total equals £1 200 000 and 20.8% - Business 4 C is not correct because 25% = £300 000 – Business 1 D is not correct because 29.2% = £350 000 – Business 5	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 3 of 47 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is B - More funds taken out than are in the account** A is not correct because borrowing regular amounts is a loan C is not correct because money lent by many people is 'just giving' D is not correct because a loan for repayment is a loan	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - 2.53%** A is not correct because calculation worked out on Cash assets not Total assets B is not correct because percentage correct but not minus calculation wrong way round C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO1 = 1 mark** **The only correct answer is C - Job description** **A** is not correct because a Business plan is not in recruitment **B** is not correct because Induction training is after recruitment **D** is not correct because Job enrichment is after recruitment	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 3 of 47 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of social enterprise. • A business whose profits are used to benefit it and the community (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of globalisation. • Companies operating internationally across the world (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business. • To attract more people to fly with *Emirates* and not its competitors (1). • As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 3 of 47 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 26 – 30 (1) = –4 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1). • The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1). Answers that list two factors with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 3 of 47 · Question 1 part a.iv · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part a.iv in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue. **AO3** • Decisions can then be made whether to reduce costs or change certain strategies. • The figures can also inform *Emirates* what action it might need to take in coming years.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 3 of 47 · Question 1 part a.iv · 1 mark

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Question Number	Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 4 of 47 · Question 1 part c · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

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Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

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Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Sources of finance and why businesses need finance

Answer 5 of 47 · Question 1 part d · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	(1)

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	(1)

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	(1)

Question Number	Define the term **personal savings.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	(1)

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** AO2 • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods AO3 • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	(6)

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 6 of 47 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.ii in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.ii in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.ii in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 7 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **overdraft.** • An agreement to draw more money from a bank account that it has in it **(1)**	**(1)**

Question Number	Outline **one** reason why *IKEA* would read reports issued by governments. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *IKEA* would read government reports, plus 1 further mark for linking it to the context of the question. • If a government reported that it was going to reduce the amount of money people have to spend by increasing income tax **(1)** this could mean that people might not purchase more furniture for their home **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 8 of 47 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate to 2 decimal places the bonus this employee would receive. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 177 070 x 0.075 **(1)** = 13 280.25 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 8 of 47 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Analyse why *IKEA* shortlists candidates for positions in its factories. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Shortlisting saves *IKEA* time by only calling applicants for an interview, if they have the experience or qualifications to be able to packaging flat packs in an *IKEA* factory • *IKEA* will shortlist candidates that match the job description of a carpenter working in its factories **AO3** • Only such applicants will be interviewed meaning the time required of *IKEA*'s Human Resources to make an appointment of a factory worker is reduced • They check that the details on the application form matches the job the applicant is applying for	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 8 of 47 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	**Option 1:** bonus **Option 2:** job enrichment **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By offering carpenters in its factories the opportunity of earning a bonus encourages them to make more tables and chairs • **Option 2** – By *IKEA* providing job enrichment opportunities such as training its present employees, so they are able to work in the packing department **AO3** • **Option 1** – Employees are more likely to remain with *IKEA* than find another job as a bonus will add to their salary • **Option 2** – Employees will gain new skills which will make them feel valued by *IKEA*, helping them to gain promotion, such as becoming an Assistant Manager **AO4** • **Option 1** – However, employees may not be interested in a bonus as it requires more work and effort • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to have additional remunerations	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 8 of 47 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Sources of finance and why businesses need finance

Answer 8 of 47 · Question 3 part a · 1 mark

2023 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate to 2 decimal places the percentage decrease in inventories from 2019 to 2020. **Answer**	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **share capital**. • The funds a company raises by issuing shares **(1)**	**(1)**

Question Number	Outline how *CCT* could use quantitative research data to improve its service. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way quantitative research data might be used by *CCT to* improve its service, plus 1 further mark for linking it to the context of the question. • Using data on how much people are willing to pay for the bicycle tours **(1)** could lead to *CCT* charging a more competitive price (**1**) • Using data on the number of people who require electric bicycles **(1)** could lead to *CCT* providing more electric bicycles at peak times **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the gross profit margin. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 71 500/ 85 000 x 100 **(1)** = 84.12 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the possible effects on *CCT* of recruiting externally. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It provides a larger pool of potential candidates who may have specialised knowledge of marketing team-building activities • It may be expensive and time-consuming to advertise, shortlist and interview candidates to promote the bicycle tours **AO3** • This could lead to the recruitment of a marketing manager who can provide new ideas to *CCT* and provide a competitive edge in the bicycle tour market • This could lead to time and money spent on recruitment rather on the development of its current services and employees to grow its business	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Feedback from some customers suggested they became tired during the bicycle tours. To overcome this problem *CCT* is planning to purchase electric bicycles. To fund the cost of purchasing the electric bicycles, *CCT* is considering two options: Justify which **one** of these two options *CCT* should choose. **Option 1:** selling assets **Option 2:** retained profit **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – selling off any bicycle equipment *CCT* does not use can provide it with cash to buy the bicycles • **Option 2** – If *CCT* has retained profit it has immediate access to the funds to purchase the electric bicycles **AO3** • **Option 1** – This means they are making good use of any assets they no longer use • **Option 2** – This means that CCT can adapt quickly to the changing wants and needs of its customers **AO4** • **Option 1** – However, as the electric bicycles cost £550 each, *CCT* may not have many surplus assets to sell off that will cover the cost for all of the bicycles leaving them less competitive against other bicycle tours. • **Option 2** – However, if *CCT* uses all of its retained profit to purchase the bicycles it will not have any funding to cover any unforeseen circumstances or emergencies	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 9 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate the total discount received by a business if it books eight people on a team-building tour. You are advised to show your workings. **Answer**	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 10 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **crowdfunding**. • Where a large number of individuals invest in a business using an online platform	**(1)**

Q. No.	Outline **one** reason why the proximity of labour is important to *Starbucks*. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why the proximity of labour is important to *Starbucks* plus 1 further mark for linking it to the context of the business. • It provides increased access to potential workers **(1)** to serve as baristas in the shop **(1)** **NB** Award a maximum of 1 mark if there is no context anywhere in the answer. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate the salary of the *Starbucks* employee in Germany in euros. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 21 000 x 0.91 **(1)** = 19 110 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 10 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Q. No.	Analyse why *Starbucks* wants to promote its existing employees. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By promoting its own employees, to an Assistant Manager of a coffee shop, they will remain loyal to *Starbucks* • It reduces the cost of advertising for new employees who have experience of coffee shops **AO3** • As they are familiar with the aims of the business and how it works • As well as saving time and money training new employees in the ways that *Starbucks* works	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Sources of finance and why businesses need finance

Answer 10 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Q. No.	**Option 1:** Open coffee shops in supermarkets **Option 2:** Open coffee shops in hospitals. Justify which **one** of these two options *Starbucks* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If *Starbucks* opens coffee shops in supermarkets it could gain customers who want to have a coffee after finishing their shopping • **Option 2** – By opening coffee shops in hospitals, means that friends/relatives who have travelled a distance getting to the hospital can have a drink **AO3** • **Option 1** – Customers may also be encouraged to purchase a cake if they have had a busy time carrying out their food shopping • **Option 2** – They may even take their relative in hospital for a coffee **AO4** • **Option 1** – However, there is no guarantee that customers will want to stop and have a coffee after shopping they may prefer to go home • **Option 2** – However, there is no guarantee that visitors to the hospital would want to stay and have a drink if their time was limited	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 10 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 10 of 47 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the cost of the meal with the employee's discount. You are advised to show your workings **Answer**	Additional Guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 11 of 47 · Question 3 part b · 2 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of revenue. • The income over a period of time from the sales of goods **(1)**. • Price x sales **(1)**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *Tata Motor Company* would want to use an overdraft, plus 1 further mark for linking it to the context of the question. • *Tata Motor Company* would need an overdraft to overcome a shortfall in funds **(1)** which means if it needs funds to purchase additional tyres the money will be available **(1)**. **NB** Do not accept a reason that is not in the context of *Tata Motor Company.* **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 42 839 – 18 441 = 24 398 **(1)** 24 398 ÷ 18 441 x 100 = 132.30% **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 11 of 47 · Question 3 part b · 2 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company's* revenue has increased year on year. • *Tata Motor Company* can use these figures to compare them with other vehicle manufacturers. **AO3** • *Tata Motor Company* could invest in designing and manufacturing new cars. • *Tata Motor Company* could adjust its prices to increase its yearly revenue.	**(6)**

	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 11 of 47 · Question 3 part b · 2 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – you are able to obtain the information directly from the people about the cars they want and the price they are prepared to pay. • **Option 2** – secondary research is much easier to collate from other car manufacturing websites and reports. **AO3** • **Option 1** – this helps *Tata Motor Company* gather information that is relevant and can help in designing and pricing the next cars to be manufactured. • **Option 2** – and will not take *Tata Motor Company* as long to gather the information it requires. **AO4** • **Option 1** – although gaining this information is important for *Tata Motor Company* it is very costly in time and man power. • **Option 2** – the data it collects may not provide the information it requires.	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 11 of 47 · Question 3 part b · 2 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 11 of 47 · Question 3 part b · 2 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid impact that government legislation may have on *Can Culleretes* in the context of *Can Culleretes.* • The chefs may need to be retrained to stay up to date with new health and safety regulations **(1)** **NB:** Do not accept an impact that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Can Culleretes* might add value to its business. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Can Culleretes* might add value in the context of *Can Culleretes.* • *Can Culleretes* can use high quality organic vegetables in its Mediterranean food **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** method a business could use to encourage repeat purchase of its products **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a method a business could use to encourage repeat purchase of its products, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Issue loyalty cards **(1)** which could be used to offer special discounts **(1)** leading to customers being motivated to return to the business rather than its competitors **(1)** NB Answers that list three methods with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** disadvantage of using personal savings as a source of finance for a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using personal savings as a source of finance, plus 2 further marks for explaining this disadvantage, for a maximum of 3 marks. • Money to deal with an emergency may not be available **(1)** so there is no backup if things go wrong **(1)** meaning that it may be necessary to find another source of finance **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** benefit for a business of motivating its employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of motivating employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Retention of employees **(1)** avoids spending time and money on recruitment **(1)** allowing the business to concentrate elsewhere **(1)** NB Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	*Can Culleretes* is looking to improve its revenue and is considering two options. Option 1: increase advertising Option 2: opening for breakfast. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – An increase in advertising can reach new customers and tourists visiting Barcelona • **Option 2** – By opening for breakfast Montserrat and Alicia can attract existing and new customers **AO3** • **Option 1** – This method can improve its revenue by drawing in new customers who may not have heard the restaurant before • **Option 2** – This method may make the restaurant stand out as it is offering something it has not done before in its long history **AO4** • **Option 1** – However, it depends on the method of advertising as it can be expensive so although revenue may improve it will be a cost for the business • **Option 2** – However, as it is only a small restaurant they may need to employ more staff as well but this could lead to an increase in costs	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 12 of 47 · Question 2 part d · 3 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Define the term **non-current assets.** Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 1 of 7 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for one task that the human resources would carry out at *Kraft Heinz* when recruiting an employee in the context of the business. • Human resources would carry out interviews to recruit a Graphic Designer for the new baked beans advertisement **(1)** • It would look after the welfare of employees working in the tomato sauce factory **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *Kraft Heinz* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective *Kraft Heinz* might have in the context of the business. • *Kraft Heinz* might want to increase its profit by increasing the number of different sauces they sell **(1)** • *Kraft Heinz* may want to increase its market share by introducing new products such as cool whip to New Zealand **(1)** **NB** Do not accept a financial objective that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why some businesses use crowdfunding as a source of finance. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why some businesses use crowdfunding as a source of finance plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using crowdfunding can be a fast way to raise finance **(1)** from many investors **(1)** who may do this for the success of the business **(1)** • Crowdfunding is organised online **(1)** and can come from anywhere in the world **(1)** giving access to a wide number of investors **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why some businesses use crowdfunding as a source of finance, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of using retained profits to purchase goods and services. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a disadvantage to a business of using retained profit to purchase goods and services, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Using retained profit reduces the amount of funds available for the business to use. **(1)** If there is an emergency where funds are needed such as a machine breaking down **(1)** the business may not have the funds to get it repaired **(1)** • By using its retained profit to purchase new machinery **(1)** the business may not have the funds **(1)** to pay the rent or wages of employees **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages to a business of using retained profits to purchase goods and services, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why the quality of goods manufactured by a business is important to its success. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why the quality of goods manufactured by a business is important to its success plus 2 further marks for explaining why, for a maximum of 3 marks. • Manufacturing quality goods can lead to a good reputation for the business **(1)** thus encouraging more people to purchase the goods **(1)** which increases the sales for the business **(1)** • Increased competition from other businesses is why quality is important **(1)** the higher the quality of goods can increase customer purchases **(1)** which will then increases the profits of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why the quality of goods manufactured by a business is important to its success with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 5 of 7 · find part c in this mark scheme extract

Question Number	*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques. **Option 1**: sponsorship of a local charity **Option 2:** increasing the number of special offers. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By sponsoring a local charity such as Animal Rescue gains *Kraft Heinz* publicity and involvement in the local community • **Option 2** – By increasing the special offers for its sauces it may encourage more people to purchase its products **AO3** • **Option 1** – Customers seeing notices of the charity event may then want to support *Kraft Heinz* • **Option 2** – This improves its sales and keeps *Kraft Heinz* ahead of its competitors **AO4** • **Option 1** – However, there is no guarantee that because an event has been sponsored by *Kraft Heinz* people will purchase its products • **Option 2** – However, special offers may help increase sales but they can cost *Kraft Heinz* additional costs which might not be recovered	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Sources of finance and why businesses need finance

Answer 13 of 47 · Question 2 part c · 3 marks

2023 NOV · Paper 02 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Define the term **public limited company.** **Answer**	Mark

2 (a)	**A02 - 1 mark** Award 1 mark for one task that the human resources would carry out at *Kraft Heinz* when recruiting an employee in the context of the business. • Human resources would carry out interviews to recruit a Graphic Designer for the new baked beans advertisement **(1)** • It would look after the welfare of employees working in the tomato sauce factory **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *Kraft Heinz* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective *Kraft Heinz* might have in the context of the business. • *Kraft Heinz* might want to increase its profit by increasing the number of different sauces they sell **(1)** • *Kraft Heinz* may want to increase its market share by introducing new products such as cool whip to New Zealand **(1)** **NB** Do not accept a financial objective that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why some businesses use crowdfunding as a source of finance. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for a reason why some businesses use crowdfunding as a source of finance plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Using crowdfunding can be a fast way to raise finance **(1)** from many investors **(1)** who may do this for the success of the business **(1)** • Crowdfunding is organised online **(1)** and can come from anywhere in the world **(1)** giving access to a wide number of investors **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why some businesses use crowdfunding as a source of finance, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of using retained profits to purchase goods and services. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a disadvantage to a business of using retained profit to purchase goods and services, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Using retained profit reduces the amount of funds available for the business to use. **(1)** If there is an emergency where funds are needed such as a machine breaking down **(1)** the business may not have the funds to get it repaired **(1)** • By using its retained profit to purchase new machinery **(1)** the business may not have the funds **(1)** to pay the rent or wages of employees **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages to a business of using retained profits to purchase goods and services, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why the quality of goods manufactured by a business is important to its success. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why the quality of goods manufactured by a business is important to its success plus 2 further marks for explaining why, for a maximum of 3 marks. • Manufacturing quality goods can lead to a good reputation for the business **(1)** thus encouraging more people to purchase the goods **(1)** which increases the sales for the business **(1)** • Increased competition from other businesses is why quality is important **(1)** the higher the quality of goods can increase customer purchases **(1)** which will then increases the profits of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why the quality of goods manufactured by a business is important to its success with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	*Kraft Heinz* constantly aims to promote its products to encourage people to increase sales. To do this *Kraft Heinz* is considering using the following techniques. **Option 1**: sponsorship of a local charity **Option 2:** increasing the number of special offers. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By sponsoring a local charity such as Animal Rescue gains *Kraft Heinz* publicity and involvement in the local community • **Option 2** – By increasing the special offers for its sauces it may encourage more people to purchase its products **AO3** • **Option 1** – Customers seeing notices of the charity event may then want to support *Kraft Heinz* • **Option 2** – This improves its sales and keeps *Kraft Heinz* ahead of its competitors **AO4** • **Option 1** – However, there is no guarantee that because an event has been sponsored by *Kraft Heinz* people will purchase its products • **Option 2** – However, special offers may help increase sales but they can cost *Kraft Heinz* additional costs which might not be recovered	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Sources of finance and why businesses need finance

Answer 14 of 47 · Question 2 part d · 3 marks

2023 NOV · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **public limited company.** **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 15 of 47 · Question 1 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a valid factor *Four Fitness* may consider that could influence the location of a new gym • The proximity to suitably qualified gym instructors who will want to work at the gym **(1)** **NB** Do not accept a factor that is not in the context of *Four Fitness*. **Accept any other appropriate response**.	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	State **one** reason why branding is important to *Four Fitness.* **Answer**	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why branding is important to *Four Fitness.* • It makes the highly experienced gym instructors stand out against its competitors **(1)** **NB** Do not accept a reason that is not in the context of *Four Fitness.* **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** advantage to a business of using total quality management. **Answer**	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of an advantage to a business of using total quality management, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Increased customer satisfaction **(1)** as managing quality is the responsibility of all employees **(1)** so they will be fully trained to complete their role effectively and consistently **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** problem a business might face as a result of ineffective communication. **Answer**	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for a problem a business might face as a result of ineffective communication, plus 2 further marks for explaining this problem, for a maximum of 3 marks. • Employees may become demotivated as they do not understand what they have to do **(1)** leading to lower levels of productivity **(1)** and increased costs for the business **(1)** **NB** Answers that list three problems with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** disadvantage to a small business of borrowing money from a bank. **Answer**	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for a disadvantage to a small business of borrowing money from a bank, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Borrowing from a bank means the business has to pay back the loan with interest **(1)** which will increase its costs **(1)** leading to a reduction in profit **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	*Four Fitness* is looking to introduce a new service to increase its market share. It is considering two options. **Option 1:** as part of its monthly subscription price, members are given a 'Technogym Electronic Key' which is inserted into the gym equipment. The key will track and store their progress. An instructor helps them to analyse their progress. **Option 2:** introduce links to online fitness classes on its website which can be accessed from home. Customers will be charged for each fitness class downloaded. **Indicative content**	**Mark**
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – This can create a USP for the gym making it stand out from its competitors • **Option 2** – This will add an extra element to its website as it is currently for information only **AO3** • **Option 1** – This can draw new customers in as they will also have access to specialist face to face advice from the instructor as part of the membership package • **Option 2** – This may draw customers in from further away as they will not have to be on site to access the videos and if they feel it is worth it they are more likely to pay for more videos leading to an increase in market share **AO4** • **Option 1** – However, if customers do not want access to this service as part of their membership they may feel they are being overcharged and the gym could be at risk of losing customers to its competitors therefore decreasing its market share • **Option 2** – However, advertising costs will increase to widely draw in customers in as some may not want to pay for the videos if they can access free alternatives on the internet	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 16 of 47 · Question 2 part e · 3 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Define the term **economies of scale.** **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 17 of 47 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

4 (a)	**AO2 - 2 marks** 120 000/90 000 **(1)** = 1.33 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 17 of 47 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4 (b)	**AO2 - 3 marks AO3 - 3 marks** **AO2** • *Lavender* will know the amount of internal finance they have available • The money does not have to be borrowed/negotiated. **AO3** • By using internal sources of finance *Lavender* has the money straight away in its restaurants and does not have to go through a lengthy process to get the money. • *Lavender* will not have to pay the money back so does not need to worry about any monthly repayments or interest associated with external sources of finance.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 17 of 47 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Social media can be used to gain a wider target market. • E-newsletters can keep customers up to date with new products. **AO2** • *Lavender* could target a particular audience based on their likes of food to advertise directly to. • *Lavender* could get the email addresses of its customers or complete questionnaires. **AO3** • Therefore, using technology in promotion *Lavender* can personalise the information to the customer based on what they have searched for on the internet or what they have purchased previously from the bakery. • Therefore, they can reach out to current customers and encourage them to repeat purchase or to try out its other outlets or different recipes. **AO4** • However, *Lavender* would need to have employees with the necessary technological skills in order to use this as a method of promotion. Some people ignore emails or banners on websites so may not pay attention to the promotion. Also it could be difficult to reach the new customers in the new areas as they do not know who they are yet. • However, a lot of time might be spent using technology but some people may prefer traditional methods such as leaflets inside the bakery. When handing these out to customers directly you are giving more of a personalised service and you get the chance to speak to them face to face to gain feedback.	**(12)**

Type MS · Sources of finance and why businesses need finance

Answer 17 of 47 · Question 4 part b · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 18 of 47 · Question 4 part b · 6 marks

2021 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

4 (a)	A02 - 2 marks 300 000/220 000 (1) = 1.36 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the benefits to NOF of using personal savings to expand its product range Indicative content	Mark
4 (b)	AO2 – 3 marks AO3 – 3 marks AO2 • NOF can start making ice cream immediately as they have the money. • Amanda and Ken will not have to pay any money back to their bank. AO3 • By using personal savings NOF does not have to go through a lengthy process of taking out a loan. • As there is no loan there is no need to be concerned about monthly repayments/interest and any profit gained can be used to put back into the business.	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 18 of 47 · Question 4 part b · 6 marks

2021 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 18 of 47 · Question 4 part b · 6 marks

2021 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the factors that NOF might consider when measuring the success of its farm shop. You should use the information provided as well as your own knowledge of business Indicative content	Mark
4 (c)	AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO1 • The profit produced by the farm shop • The growth of its product range. AO2 • NOF will be able to see how much profit the farm shop is making compared to the overnight accommodation. • NOF is looking at expanding its product range which shows it is currently successful in the products it already sells. AO3 • By comparing how much profit is made in the farm shop then NOF can spend money improving the areas that need developing. • This shows success of the business as there is a demand for the products it produces and it is willing to take a risk by expanding that range. AO4 • However, an increase in profit is dependent upon many other factors outside the control of NOF such as the weather as this could impact heavily on how much the farm is producing or how many people want to come and visit the farm shop. • However, there is no guarantee that this growth will be a success at a time when supermarkets sell the same products cheaper than NOF and other farms can afford to do.	**(12)**

Type MS · Sources of finance and why businesses need finance

Answer 18 of 47 · Question 4 part b · 6 marks

2021 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 18 of 47 · Question 4 part b · 6 marks

2021 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 18 of 47 · Question 4 part b · 6 marks

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Answer 19 of 47 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 10.3 / 25.9 **(1)** X 100 = 39.77 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question Number	Analyse why *Cadbury* may have needed to take out an overdraft. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** <u>AO2</u> • An overdraft would allow *Cadbury* to withdraw temporary funds from its bank account to pay suppliers for an unexpected delivery of cocoa • If *Cadbury* needs to pay an unexpected bill to keep the factory working <u>AO3</u> • It is flexible as *Cadbury* will only pay interest on the amount they are overdrawn • By using an overdraft, the factory can carry on producing whilst *Cadbury* improves its cash flow	(6)

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Answer 19 of 47 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 19 of 47 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the importance of marketing for *Cadbury* when introducing a new product. Indicative content	Mark
4 (c)	AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO1 • *Cadbury* needs to make products that customers will want to buy so by using market research it can identify a gap in the market. • By producing chocolate bars that people enjoy it keeps them loyal to those products AO2 • If the market research finds that customers like chocolate ice creams *Cadbury* could introduce them • *Cadbury* wants loyal customers to continue buying its range of chocolate products AO3 • Customers buying the ice creams increases sales and they are more likely to recommend *Cadbury* products to their friends • Loyal customers are more likely to purchase new products that *Cadbury* introduces from time to time AO4 • However, any bad publicity about the chocolate ice creams could reduce sales and give *Cadbury* a bad reputation • However, to maintain loyalty to *Cadbury*, it may have to offer special deals or free gifts on purchasing old and new chocolate products	(12)

Type MS · Sources of finance and why businesses need finance

Answer 19 of 47 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Answer 19 of 47 · Question 4 part b · 6 marks

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Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **variable costs**. • Costs that vary as output levels change **(1)**	**(1)**

Question Number	Outline **one** way *Aude Rose* could extend the product life cycle of one its products. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Aude Rose* could extend the product life cycle of one of its products, plus 1 further mark for linking it to the context of the question. • *Aude Rose* could lower the prices of its least popular flowers **(1)** encouraging sales of that variety over other flowers **(1)** **NB** Do not accept a way that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 16 260 – 12 594 = 3666/16260 x 100 **(1)** = 22.55 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 20 of 47 · Question 3 part d · 6 marks

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Question Number	Analyse the impact on *Aude Rose* of using its retained profits for this proposed development. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By using retained profit *Aude Rose* can buy the flowers straight away • Retained profit can only be used to buy a wider range of flowers if it exists **AO3** • This source of finance does not need to be paid back so any profit made from the new flowers can go back into the flower shop business • There is no guarantee that *Aude Rose* will have enough profit to buy this new range of flowers so may have to wait to accumulate more retained profits	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)

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Answer 20 of 47 · Question 3 part d · 6 marks

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Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	*Aude Rose* is considering two options: **Option 1:** hand out questionnaires to customers that visit the shop **Option 2:** using the internet to research new trends. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using questionnaires *Aude Rose* could get feedback straight away from customers when buying flowers in the shop • **Option 2** – *Aude Rose* can view a large selection of flower-based websites **AO3** • **Option 1** – The feedback might give the business more information about what the customers want from the flower shop and changes as trends develop • **Option 2** – It will be less time consuming as it can find the exact information it is looking for and compare it to the types of flowers it currently offers **AO4** • **Option 1** – However, customers may not know about the new trends so cannot give any constructive feedback on the purpose of the research being conducted • **Option 2** – However, whilst this research can give information about up-and-coming trends it gives no specific information on the demand for the new trends by its existing customers so could be a waste of time	**(9)**

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Type MS · Sources of finance and why businesses need finance

Answer 20 of 47 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Sources of finance and why businesses need finance

Answer 20 of 47 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the gross profit margin. **Answer**	**Additional guidance**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 21 of 47 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 1 + 2 + 5+ 7 = 15 **(1)** 7/15 x 100 = 46.67 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Analyse the benefit to *Jimmy Choo* of using share capital to fund its growth. **Indicative content**	**Mark**
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Jimmy Choo* is a large multinational, it might be easier to raise large amounts of share capital needed to fund any further expansion of its clothing factories • As an established multinational *Jimmy* Choo should be well placed to have a number of existing and new shareholders wanting to buy the shares **AO3** • The funds will allow *Jimmy Choo* to expand quickly so that it can take advantage of increased demand for its products • Therefore, *Jimmy Choo* will not have to incur additional payments of interest charges	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 21 of 47 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Sources of finance and why businesses need finance

Answer 21 of 47 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Q. No.	Evaluate the factors *Jimmy Choo* would have to consider when making decisions on the location of a new factory. You should use the information provided as well as your own knowledge of business.	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • *Jimmy Choo* would need to locate its factory near to where labour can be found • Locating the factory so it is easily accessible by road, rail and sea **AO2** • *Jimmy Choo* will need a wide variety of skilled labour from machinists producing handbags to employees with financial skills • If the factory is easily accessible it could reduce the transport costs of dress material from suppliers **AO3** • By locating near to skilled labour force in Italy could reduce the overall costs • It will also make delivery of the finished goods easier by having roads and rail nearby **AO4** • However, by locating near to skilled labour could be more expensive as the cost of labour may be higher, increasing overall costs • However, infrastructure may affect the location as opposed to other considerations such as delivery to the factory and from the factory may be more important	**(12)**

Type MS · Sources of finance and why businesses need finance

Answer 21 of 47 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 21 of 47 · Question 4 part b · 6 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of profit. • Profit is the difference between total revenue and total costs **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 - 2 marks** Award 1 mark for identifying an impact of an increase in interest rates on *Backyard Shoez.* One further mark for outlining it in the context of the business. *Backyard Shoez* could see a decrease in sales of shoes **(1)** because their customers who have debts have less income to spend on luxury items because they are paying more back to lenders **(1).** **NB** Do not accept a reason that is not in context of *Backyard Shoez*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**AO2 - 2 marks** 100 000/ (4 300 – 3 500) OR 100 000/ 800 **(1)** = 125 shoes **(1).** NB: Alternatively if candidates have worked out revenue instead of number of shoes then marks can be awarded for calculating break even revenue: 125 x 4 300 = 537 500Ks **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 22 of 47 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* will be able to see that it needs to sell 125 pairs before it can break-even. • *Backyard Shoez* can ask 'what if' questions and see what impact various price changes have on the break-even point. **AO3** • This will enable *Backyard Shoez* to know if they are breaking even and moving into profit. • They can raise or lower the price to become more competitive with other shoe shops.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 22 of 47 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding is a quick way to raise finance to buy new shoes/latest fashion. • Option 2 – An overdraft allows *Backyard Shoez* a temporary facility to withdraw funds from its bank to buy the required amount of stock. **AO3** • Option 1 – They could also pay the investors with products rather than a financial reward which could help cash flow. • Option 2 – If *Backyard Shoez* chooses an overdraft it gives them flexibility and they only pay interest when overdrawn. **AO4** • Option 1 – Crowdfunding is a high risk way of trying to obtain finance, this could result in *Backyard Shoez* not being able to raise sufficient funds to buy the additional stock required therefore impacting on its expansion plans. • Option 2 – The bank can demand repayment at any time and interest rates on overdraft are usually high.	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 22 of 47 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Sources of finance and why businesses need finance

Answer 22 of 47 · Question 3 part e · 9 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of e-tailers. • The use of electronic systems to sell goods/services (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *HRMW* would use robotics in its production, plus 1 further mark for linking it to the context of the question. • *HRMW* uses robots in the manufacture of these sportswear because they are more accurate than employees (1) reducing the number of errors in the products distributed to customers (1). They work 24/7 without having a break (1), which means that more sports products are made (1). **NB** Do not accept a reason that is not in the context of *HRMW*. **Accept any other appropriate response.**	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 5 000 – 3 000 = 2 000 (1) 300 000/2 000 = 150 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Using break-even charts assumes that all the tennis racquets are sold. • The simple chart assumes that the costs and revenues for the tennis racquets can be represented by a straight line. **AO3** • The chart does not show if some of the tennis racquets are kept as stock items or if some of them remain unsold. • There may be other factors that need to be considered. Increased output may involve paying staff additional wages to produce more tennis racquets.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – *HRMW* has the retained profit and this could be used straight away to pay for the R&D for the tennis racquets. • Option 2 – Selling off assets that *HRMW* owns and no longer uses makes good business sense. **AO3** • Option 1 – Because *HRMW* has retained profits the manufacture of tennis racquets can begin immediately and bring in revenue. • Option 2 – Selling assets means that *HRMW* has another source of finance and does not need to use retained profit or take out a loan. **AO4** • Option 1 – However, there may be insufficient retained profit and *HRMW* would then have to take out a loan which could be expensive. • Option 2 – However, if *HRMW* sells assets there is no guarantee that it can do so in time, which means it may have to find alternative sources of funds thereby, wasting time producing the tennis racquets for sale.	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 23 of 47 · Question 3 part e · 9 marks

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Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 24 of 47 · Question 3 part e · 9 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of price skimming. • Setting a high price for a new product and then lowering it later **(1).**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why cash is important to *Artify Studio*, plus 1 further mark for linking it to the context of the question. • It allows *Artify Studio* to pay suppliers for the art materials they sell **(1)** and by paying on time help to build a positive relationship between the business and supplier **(1).** **NB** Do not accept a reason that is not in the context of *Artify Studio*. **Accept any other appropriate response.**	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 28 500/90 500 x 100 **(1)** = 31.49 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Sources of finance and why businesses need finance

Answer 24 of 47 · Question 3 part e · 9 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Artify Studio* can see how it is performing and can calculate the gross profit margin of 31.49%. • *Artify Studio* could can use this information to assess the direction that the art studio will take in the future. **AO3** • This calculation helps them to see the sales they are making are currently sufficiently covering costs of running their services and selling their products. • This helps *Artify Studio* to judge how much profit they are making against the cost of running their business and if any changes need to be made to make the business more profitable.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 24 of 47 · Question 3 part e · 9 marks

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Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Crowdfunding could be a quick way to raise the finance needed for new art sets. • Option 2 – Tay Hui Jae could invest his own retained profits which have been earned from previous years to purchase the new art sets. **AO3** • Option 1 – Investors do not need to be given any financial reward in return for their money but could instead be offered access to the art services *Artify Studio* offer. • Option 2 – This may provide the business will the short-term finance it needs to get the painting sets together. **AO4** • Option 1 – However, *Artify Studio* is only a small business so may not have enough presence to gain the funding needed and if they don't meet the target they set then they may end up with nothing. • Option 2 – However, there is no guarantee these painting sets will sell as customers may prefer for their children to take part in the art sessions in the studio making the venture unsuccessful.	**(9)**

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Type MS · Sources of finance and why businesses need finance

Answer 24 of 47 · Question 3 part e · 9 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Sources of finance and why businesses need finance

Answer 24 of 47 · Question 3 part e · 9 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

Number	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid way in which *TBTS* can measure its success in business in the context of *TBTS* • An increase in the revenue it earns from selling its toys **(1)** **NB** Do not accept a way that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Question Number	State **one** reason why *TBTS* might segment its market **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason *TBTS* might segment the market in the context of *TBTS* • *TBTS* will be able to aim its toys appropriately to different age groups **(1)** **NB** Do not accept a reason that is not in the context of *TBTS* **Accept any other appropriate response**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** benefit to a business of having a flat organisational structure. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business of having a flat organisational structure, plus 2 further marks for explaining this benefit for a maximum of 3 marks • Businesses will have fewer levels **(1)** so lines of communication are shorter **(1)** leading to quicker decision-making **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** method a small business may use to increase its profit. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Cutting costs **(1)** such as reducing the number of employees **(1)** which could increase profit if revenue stays the same **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only **Accept any other appropriate response**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** benefit to a business of using the Boston Matrix. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of using the Boston Matrix, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The Boston Matrix helps a business to balance its product portfolio **(1)** showing if they have too many similar products **(1)** and can lead to identifying when they need to introduce a new product **(1)** NB Answers that list three benefits with no explanation will get 1 mark only **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	*TBTS* is considering two options: **Option 1:** using retained profits **Option 2:** getting a bank loan Justify which **one** of these two options *TBTS* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By using retained profits *TBTS* can buy the toys immediately to sell in its toy shops • **Option 2** – *TBTS* will have to wait for a decision to be made by the bank before being able to buy the toys from new suppliers **AO3** • **Option 1** – This method does not need to be paid back so any profits made from the introduction of new toys will go back into the business • **Option 2** – *TBTS* may have more finance from a bank loan and can therefore buy a wider range of toys **AO4** • **Option 1** – However, *TBTS* can only use retained profits if they have any in the first place as it can take some time to build up profits to use in investing in new products. • **Option 2** – However, interest has to be paid back to the bank so this adds an additional cost to the business but can be paid back over a long period of time so *TBTS* can budget for this.	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 25 of 47 · Question 2 part f · 9 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
	Define the term **inventory.**	

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for the identification of a valid method *AWG* could use to motivate its employees • The business could use job rotation so employees make not only jumpers but shirts as well **(1)** **NB** Do not accept a method that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Question Number	State **one** task of an *AWG* employee working in the human resources department. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for the identification of a valid task of an *AWG* employee working in the human resources department • *The AWG* employee working in the human resources department may be responsible for arranging the training of new employees to use the sewing machines **(1)** **NB** Do not accept a task that is not in the context of *AWG* **Accept any appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** benefit of globalisation to a small business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a benefit of globalisation to a small business, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • A small business can reach a larger audience of customers **(1)** because it can sell its products into new countries **(1)** leading to increased revenue and profitability for the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Question Number	Explain **one** method of below-the-line promotion a business may use to retain its customers. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a method of below-the-line promotion a business could use, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Existing customers may be offered sales promotions/discounts **(1)** with the aim of enticing customers to buy at a lower price **(1)** and therefore encourage repeat sales by its customers **(1)** **NB** Answers that list three methods with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Explain **one** benefit to a business of using market segmentation to target its customers. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit to a business of using market segmentation to target its customers, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • To identify customers with similar characteristics **(1)** in order to develop a product or service which meets those customers' needs **(1)** leading to an increase in sales and consumer loyalty **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	It is considering two options: **Option 1:** use venture capital to open new stores **Option 2:** start offering franchises. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – A venture capitalist may provide the funds to build the new stores to sell the jumpers • **Option 2** – A franchisee will pay *AWG* a fee for the right to sell its baby clothes **AO3** • **Option 1** – As well as providing the funds the venture capitalist may also have knowledge of the needs of Icelandic customers • **Option 2** – This method would allow *AWG* to increase its revenue from fees paid by the franchisee **AO4** • **Option 1** – However, the venture capitalist may want to take some control of the business and interfere with the decision making and objectives of the business • **Option 2** – However, *AWG* are reliant on the franchisee running the business well and not causing bad publicity for *AWG* which might impact its brands reputation	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 26 of 47 · Question 2 part f · 9 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Define the term **job production.** **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 27 of 47 · Question 3 part e · 9 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **diseconomies of scale**. • The rise in average costs of production as a business grows too quickly **(1)**	**(1)**

Question Number	Outline **one** method of primary market research that *PPS* could use to gain feedback on its services. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a method of primary market research that *PPS* can use to gain feedback on its services, plus 1 further mark for linking it to the context of the question. • Animal owners who have used the pet hotel can be given a questionnaire **(1)** that *PPS* can use to identify possible changes to its kennels **(1)** **NB** Do not accept a method that is not in the context of *PPS*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the closing balance. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 22 000 – 20 000 = 2 000 **(1)** 16 000 + 2 000 = 18 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 27 of 47 · Question 3 part e · 9 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Analyse the importance of reliable market research to obtain this information. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *PPS* will want to find accurate local data about pet owners so it can target its customers better • As *PPS* is a small business it may find it easier to speak to its customers individually to find out the needs of their pets **AO3** • This could lead to *PPS* understanding spending patterns of its customers • This could lead to *PPS* gaining more reliable data directly from its customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 27 of 47 · Question 3 part e · 9 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	*PPS* is considering two options: **Option 1:** using Rachel's personal savings **Option 2:** taking out a small bank loan. Justify which **one** of these two options *PPS* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Using personal savings gives *PPS* quick access to the €7 500 they need to buy the CCTV package and build the kennels • **Option 2** – *PPS* can apply for the €7 500 bank loan for an agreed period of time and at a fixed rate of interest **AO3** • **Option 1** – This means the money is readily available to allow for the quick building of kennels and installation of CCTV leading to increased revenue • **Option 2** – This means that *PPS* can spread the cost of repaying the €7 500 bank loan over a longer period of time whilst the new kennels are open **AO4** • **Option 1** – However, Rachel may not have enough savings so may need to look at other sources of finance as well as the personal savings and leaves the business without any surplus for emergencies • **Option 2** – However, interest has to be paid to the bank and this will add to *PPS* costs	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 27 of 47 · Question 3 part e · 9 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 27 of 47 · Question 3 part e · 9 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Calculate the break-even level of output for this new line of dog treats. **Answer**	**Additional guidance**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 1 of 7 · find part f in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a reason why branding is important to *Saha* in the context of the business. • The name/logo of the business should be recognisable to hotels and restaurants **(1)** • to distinguish *Saha*'s robots from those of competitors such as Xio **(1)** • To build relationships and customer loyalty with customers who buy for the hospitals **(1)** **NB** Do not accept a reason that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** task that an employee working in the production department at *Saha* might do. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid task that an employee in the production department might do, in the context of the business. • The employee may work on the production line fitting batteries to the robots **(1)** • The employee may be responsible for the final quality testing of each robot before they are delivered to restaurants **(1)** **NB** Do not accept a task that is not in the context of *Saha* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** disadvantage for a business of using flow production to produce its goods. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for one disadvantage to a business of using flow production, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The employees may get bored on the production line **(1)** as job roles are likely to be monotonous **(1)** leading to poorly motivated employees/high labour turnover **(1)** • The production facility may be inflexible **(1)** as the goods produced are standardised/similar **(1)** which may prevent the business from tailoring its products to individual tastes of its customers **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages of a business using flow production with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** method of above the line promotion a business may use to increase its sales revenue. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for an above the line promotion method a business might use to increase its sales revenue, plus 2 further marks for explaining this method, for a maximum of 3 marks. • A business may use television advertising **(1)** as this form of advertising may be viewed by a wide audience **(1)** leading to increased awareness of the product **(1)** • A business could use billboards **(1)** which can be seen by many people as they drive in their cars or walk in busy areas **(1)** leading to increased brand recognition of the products **(1)** **NB** No marks are awarded for a definition. Answers that list three above the line promotion methods a business might use to sell more products, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why the proximity to materials is important to a business when locating to a new factory. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why proximity of material is important to a business when locating to a new factory, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Locating close to materials may reduce delivery costs **(1)** as the material only has to travel a short distance to the new factory **(1)** which reduces total cost/increases the profitability of the business **(1)** • Access to materials which are close to the new factory may save time **(1)** because if the business runs out of inventory **(1)** it could be delivered quickly and prevent delays in production **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why proximity of material is important, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	When *Saha* expands its business it will require additional finance. It is considering two options: **Option 1:** crowdfunding **Option 2:** loan capital Justify which **one** of these two options *Saha* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Saha* may appeal to the public for funding to expand its sale of robots into all continents of the world • **Option 2** – *Saha* could use a loan to build new factories to manufacture the new robots for homes **AO3** • **Option 1** – Investors may be willing to contribute small amounts to the expansion which do not have to be repaid/does not increase the debt of *Saha* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Saha* to pursue its expansion programme **AO4** • **Option 1** – However, there is no guarantee that sufficient funds would be raised through crowdfunding to allow *Saha* to pursue its ambitious expansion plans • **Option 2** – However, the loan will incur interest rates that have to be paid in addition to the loan amount which will increase costs/reduce profitability	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Sources of finance and why businesses need finance

Answer 28 of 47 · Question 2 part f · 9 marks

2024 NOV · Paper 01 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **legislation.** **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **share capital**. • The funds a company raises by issuing shares **(1)**	**(1)**

Question Number	Outline how *CCT* could use quantitative research data to improve its service. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way quantitative research data might be used by *CCT to* improve its service, plus 1 further mark for linking it to the context of the question. • Using data on how much people are willing to pay for the bicycle tours **(1)** could lead to *CCT* charging a more competitive price **(1)** • Using data on the number of people who require electric bicycles **(1)** could lead to *CCT* providing more electric bicycles at peak times **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the gross profit margin. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 71 500/ 85 000 x 100 **(1)** = 84.12 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the possible effects on *CCT* of recruiting externally. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It provides a larger pool of potential candidates who may have specialised knowledge of marketing team-building activities • It may be expensive and time-consuming to advertise, shortlist and interview candidates to promote the bicycle tours **AO3** • This could lead to the recruitment of a marketing manager who can provide new ideas to *CCT* and provide a competitive edge in the bicycle tour market • This could lead to time and money spent on recruitment rather on the development of its current services and employees to grow its business	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Feedback from some customers suggested they became tired during the bicycle tours. To overcome this problem *CCT* is planning to purchase electric bicycles. To fund the cost of purchasing the electric bicycles, *CCT* is considering two options: Justify which **one** of these two options *CCT* should choose. **Option 1:** selling assets **Option 2:** retained profit **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – selling off any bicycle equipment *CCT* does not use can provide it with cash to buy the bicycles • **Option 2** – If *CCT* has retained profit it has immediate access to the funds to purchase the electric bicycles **AO3** • **Option 1** – This means they are making good use of any assets they no longer use • **Option 2** – This means that CCT can adapt quickly to the changing wants and needs of its customers **AO4** • **Option 1** – However, as the electric bicycles cost £550 each, *CCT* may not have many surplus assets to sell off that will cover the cost for all of the bicycles leaving them less competitive against other bicycle tours. • **Option 2** – However, if *CCT* uses all of its retained profit to purchase the bicycles it will not have any funding to cover any unforeseen circumstances or emergencies	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 29 of 47 · Question 3 part e · 9 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate the total discount received by a business if it books eight people on a team-building tour. You are advised to show your workings. **Answer**	**Additional guidance**	**Mark**

2 (a)	**A02 - 1 mark** Award 1 mark for a fixed costs that *Ocean Vibes* are likely to pay. • Wages/salaries paid to the tour guides **(1)** • Rent/fees paid to the tourist resort **(1)** **NB** Do not accept a reason that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** method of primary research *Ocean Vibes* may use. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a method of primary research *Ocean Vibes* may use • Dolphin tour customer survey **(1)** • Scientist focus group **(1)** **NB** Do not accept a method that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** advantage to a business of having high market share. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for one advantage to a business of having a high market share, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The business is likely to have loyal customers **(1)** as the business is performing better than competitors in terms of sales volume/revenue **(1)** leading to higher potential profitability **(1)** • Higher market share can generate higher sales **(1)** this would allow the business to benefit from economies of scale **(1)** reducing the total costs of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of a business having a high market share with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** advantage to a business of using e-commerce to sell its products. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of using e-commerce to sell its products, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • A business may reduce its costs **(1)** as it may not have to pay for a retail store/office **(1)** leading to increased levels of profit for the business **(1)** • More customers will use an online business rather than going to a store **(1)** this will increase the revenue of the business **(1)** leading to increased market share **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of using e-commerce to sell its products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why shareholders would be interested in the financial documents of a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why shareholders would be interested in the financial documents of a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may review the financial documents to assess if the business is making a profit **(1)** as the shareholder is interested in gaining a return on their investment **(1)** which may help them to decide to either sell their shares or buy more shares in the business **(1)** • To compare the financial performance of the business **(1)** in order to identify cost savings **(1)** which can help to improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why shareholders would be interested in the financial documents of a business, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth: **Option 1:** venture capital **Option 2:** loan capital. Justify which **one** of these two options the owners of *Ocean Vibes* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* may appeal to an individual who wishes to invest in a business that is concerned with the welfare of birds and dolphins • **Option 2** – *Ocean Vibes* could use a loan to buy new boats to enable it to offer more boat tours **AO3** • **Option 1** – The venture capitalist may offer advice to the young scientists to help them increase the revenue of *Ocean Vibes* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Ocean Vibes* to buy new boats for its business **AO4** • **Option 1** – However, the venture capitalist may wish to take some control of the business which may cause disagreement within the business • **Option 2** – However, interest will be paid on the loan in addition to the loan amount which will increase costs and possibly reduce profitability	**(9)**

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 30 of 47 · Question 2 part f · 9 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Define the term **span of control.** **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 31 of 47 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 38.40 x 12 = 460.80 460.80 x 0.125 = 57.60 **(1)** 460.80 – 57.60 = 403.20 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 31 of 47 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse the importance of *Can Culleretes* responding to changes in its market. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Montserrat and Alicia need to keep up with changing customer tastes if they want to remain competitive • As the second oldest restaurant in Spain it may place no importance in responding to changes in the market **AO3** • They are located in a busy area and want to make sure customers are drawn to them over the other restaurants in the area • Despite the market changing customers are drawn to *Can Culleretes* because of it being a family run business and its long history so may see no need to change if it is successful enough as it is	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 31 of 47 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the impact of using venture capital as a source of finance to fund the opening of *Can Culleretes*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Venture capital is when investors give a business money in exchange for a share of the profits. • Venture capital is an external source of finance often used for opening new businesses. **AO2** • Investors may have the skills in the food industry to ensure Can Café is a success. • Investors could have some ideas that the family does not like such as the opening hours of the café. **AO3** • By using this source of finance Can Café will have enough money to set up without having to pay back any interest helping the business to have more chance of it being a success from the start. • If the investors are too involved in setting up the business it may lose the historical story behind the original business leading to customers staying away from the café. **AO4** • However, the family will have to pay the investors a share of the profits which may upset the other family members as they are the ones working hard to set up Can Café but the investors get the rewards. • However, if the owners had an agreement to pay the investors back and then take back full ownership it could ensure the success of both business as well as keeping them in the family in the long term.	**(12)**

Type MS · Sources of finance and why businesses need finance

Answer 31 of 47 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Sources of finance and why businesses need finance

Answer 31 of 47 · Question 4 part c · 12 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 32 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 32 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 32 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a.i in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 32 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 33 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 33 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 33 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 33 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 33 of 47 · Question 1 part b · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 34 of 47 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Sources of finance and why businesses need finance

Answer 34 of 47 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a.v in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 34 of 47 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a.v in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 34 of 47 · Question 1 part a.v · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

4BS1 02 November 2021

Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	Mark

4BS1 02 November 2021

Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part a.vi in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Sources of finance and why businesses need finance

Answer 35 of 47 · Question 1 part a.vi · 1 mark

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Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 1 of 8 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **D** Focus groups **A** is incorrect as published government statistics is secondary market research **B** is incorrect as a magazine article is secondary market research **C** is incorrect as internet research is secondary market research	**(1)**

Question Number	Which **one** of the following is an example of external communication? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **B** Sending a customer details of a special offer **A** Is incorrect as a presentation by the chairperson to employees is an internal communication **C** Is incorrect as a departmental meeting is an internal communication **D** Is incorrect as training sessions for new employees is an internal communication	**(1)**

Question Number	Which **one** of the following is the percentage decrease in the share price? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **C** 4.08% **A** is incorrect as 1.49 is 36.55 - 35.06 **B** is incorrect as 1.96 is 36.55 + 35.06/36.55 **D** is incorrect as 4.25 is 36.55 - 35.06 = 1.49/35.06 x 100	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 2 of 8 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** $5.67 **B** is incorrect as $6.48 = 0.54 x 12 **C** is incorrect as $56.25 = 54 ÷ 12 x 12.5 **D** is incorrect as $81.00 = 0.54 x 12 x 12.5	**(1)**

Question Number	Which **one** of the following would be a long-term source of finance for a sole trader? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** Personal savings **A** is incorrect as trade credit is not long term **B** is incorrect as overdraft is not long term **D** is incorrect as share capital is not available for sole traders	**(1)**

Question Number	Which **one** of the following is the break-even point? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** **A** is incorrect as it is the total revenue **B** is incorrect as it is the total costs **C** is incorrect as it is the fixed costs	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 3 of 8 · find part a.v in this mark scheme extract

Question Number	Define the term **labour intensive production.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **labour intensive production.** • A production method that makes more use of labour than machines/capital **(1)**	**(1)**

Question Number	Define the term **trade bloc.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **trade bloc.** • A group of countries that join together to protect themselves from imports from non-members **(1)**	**(1)**

Question Number	State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Kraft Heinz* prefers to train its employees using on-the-job training in the context of the business. • Employees will know the ingredients for tomato sauce and how it is made **(1)** • Employees are shown the production process of baked beans **(1)** **NB** Do not accept a reason that is not in the context of *Kraft Heinz* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 4 of 8 · find part a.v in this mark scheme extract

Question Number	Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 15 750 x 0.14 **(1)** = 2 205 15 750 + 2 205 = 17 955 **(1)** **OR** 15 750 x 1.14 = 17 955 **(2)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 5 of 8 · find part a.v in this mark scheme extract

Question Number	Explain **one** purpose for a business of the statement of financial position. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a purpose of the statement of financial position plus 2 further marks for explaining the purpose, for a maximum of 3 marks. • By reviewing its financial position, a business can see how the business is performing **(1)** it may decide to expand further if it has the funds **(1)** by introducing new products to sell **(1)** • If a business has liabilities **(1)** it may want to find ways to reduce its expenditure **(1)** by decreasing the amount of stock it holds **(1)** **NB** No marks are awarded for a definition. Answers that list three purposes with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 6 of 8 · find part a.v in this mark scheme extract

Question Number	Analyse the benefits to *Kraft Heinz* of using social media to collect market research data. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social media is now widely used by many people around the world and it enables *Kraft Heinz* to collect global data quickly about a new variety of tomato sauce they have introduced • *Kraft Heinz* can set up links with a variety of people to collect their views on the changes they have made to Mac&Cheese **AO3** • This allows *Kraft Heinz* to gather valuable data which can be used when information on a product is needed to decide on carrying on or stopping the product • *Kraft Heinz* can analyse and evaluate quickly the views made by people and then make adjustments to products if needed	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 36 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 02 · extract 8 of 8 · find part a.v in this mark scheme extract

Question Number	State **one** task that the human resources would carry out at *Kraft Heinz* when recruiting an employee. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 37 of 47 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.vi in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 37 of 47 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.vi in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 37 of 47 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a.vi in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 37 of 47 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a.vi in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Sources of finance and why businesses need finance

Answer 37 of 47 · Question 1 part a.vi · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a.vi in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 – 1 mark** Award 1 mark for a reason why *Samsung* may need long term finance. • To fund the research and development of new smartphones **(1)** • To build a new factory to manufacture laptops **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

Q. No.	State **one** reason why quality control is a benefit to *Samsung* **Answer**	**Mark**
2 (b)	**AO2 – 1 mark** Award 1 mark for a valid reason why quality control is a benefit to *Samsung* • Poor quality laptops are likely to be detected before they are shipped to customers **(1)** **NB** Do not accept a reason that is not in the context of *Samsung*. Accept any appropriate response.	**(1)**

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Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Q. No.	Explain **one** advantage to a business of having a social objective. **Answer**	Mark
2 (c)	**AO1 – 3 marks** Award 1 mark for identification of an advantage to a business of having a social objective , plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • The business can gain a good reputation **(1)** from creating a positive impact on society **(1)** resulting in more potential customers **(1)** • The business may attract employees **(1)** who are interesting in environmental problems **(1)** leading to a wider pool of talent/skills in the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** limitation of a break-even chart. **Answer**	Mark
2 (d)	**AO1 – 3 marks** Award 1 mark for identification of one limitation of a break-even chart plus 2 further marks for explaining the limitations, for a maximum of 3 marks. • Break-even is based on predictions **(1)** which may result in incorrect forecast **(1)** leading to wasted resources **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Q. No.	Explain **one** benefit to a business of being located within a trading bloc. **Answer**	Mark
2 (e)	**AO1 – 3 marks** Award 1 mark for identification of one benefit to a business of being located within a trading bloc, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • There is the potential for a business to increase sales **(1)** because a trading bloc encourages trade between member countries **(1)** therefore a business has a wider pool of customers **(1)** • Costs of imported materials may decrease for the business **(1)** as tariffs are likely to be reduced or eliminated in the trading bloc **(1)** allowing the business to potentially increase its profits **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

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Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Q. No.	**Option 1:** Sponsor celebrities to use its products **Option 2:** Provide a free game app to customers when they purchase a product Justify which one of these two options *Samsung* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Samsung* could pay fees to a celebrity for using its smartphones as a way of getting publicity for its products • **Option 2** – free game applications may encourage young people to buy a *Samsung* smartphone rather than one from *Apple* **AO3** • **Option 1** – People are influenced by celebrities and if they see their idols using the smartphone they may be encouraged to buy the same one • **Option 2** – Some consumers may perceive the free apps as an attractive special offer which may persuade them to choose the *Samsung* smartphone rather than any other alternative **AO4** • **Option 1** – However, if the person chosen by *Samsung* to advertise its products is involved in a scandal this may ruin the reputation of *Samsung* and lead to a decrease in demand • **Option 2** – However, some people will be more concerned with other features/apps on a smartphone and may not be attracted to the special offer of free games	**(9)**

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Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Sources of finance and why businesses need finance

Answer 38 of 47 · Question 2 part a · 1 mark

2025 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Q. No.	Define the term **exporter.** **Answer**	Mark

1 (a) (i)	**AO1 - 1 mark** **B -** Government reports	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **C -** Increased market share	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A -** Bank loan	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **C –** Production	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **A -** 2 489.60 Ks	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D -** The cost of importing a handbag would fall	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of stakeholder. • Individuals or groups with an interest in the success or failure of a business **(1).**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 39 of 47 · Question 1 part a.iii · 1 mark

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Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is measured by value and expressed/represented as numbers **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid response which relates to a method of on-the-job training in the context of the business. • Shadowing a fellow shoe fitter **(1).** • Demonstrating how customers are advised between different shoe brands **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 500 500/ 570 000 x 100 **(1)** Answer 87.81% **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 39 of 47 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of a way, plus 2 further marks for explaining how this way will affect a business for a maximum of 3 marks. • A business could negotiate deals with suppliers at a cheaper rate **(1)** this will keep costs as low as possible **(1)** meaning that the business can look to reduce the prices of their products/services to encourage more sales **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 39 of 47 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part a.iii in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* is located in three shopping malls where there are other shoe shops. • *Backyard Shoez* need to maintain a high standard at all times to encourage customers to buy its shoes and bags. **AO3** • If customer needs are not met then present customers are likely to go to other shoe shops. • *Backyard Shoez* will maintain customer loyalty with positive effects on sales and revenue.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Answer 39 of 47 · Question 1 part a.iii · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part a.iii in this mark scheme extract

Question Number	Answer	Mark

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 40 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 40 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Sources of finance and why businesses need finance

Answer 40 of 47 · Question 1 part a.i · 1 mark

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Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 40 of 47 · Question 1 part a.i · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part a.i in this mark scheme extract

Question Number	Answer	Mark

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

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1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

2021 JUN · Paper 01 · extract 2 of 7 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

2021 JUN · Paper 01 · extract 3 of 7 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

2021 JUN · Paper 01 · extract 4 of 7 · find part a.i in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part a.i in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 41 of 47 · Question 1 part a.i · 1 mark

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Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 42 of 47 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Sources of finance and why businesses need finance

Answer 42 of 47 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Sources of finance and why businesses need finance

Answer 42 of 47 · Question 1 part a.ii · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 42 of 47 · Question 1 part a.ii · 1 mark

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Question Number	Answer	Mark

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B** Social **A** - is incorrect as esteem is level 4 **C** - is incorrect as safety is level 2 **D** - is incorrect as basic is level 1	**(1)**

Question Number	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** Venture capital **A** - is incorrect as personal savings is an internal source of finance **B** - is incorrect as retained profit is an internal source of finance **C** - is incorrect as selling assets is an internal source of finance	**(1)**

Question Number	Which **one** of the following is the closing balance for the end of the month? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **B** -£8 000 **A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000 **C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000 **D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is a reason why governments raise tax rates? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **A** To raise revenue to fund government expenditure **B** - is incorrect as raising taxes would put off multinationals from investing **C** - is incorrect as to higher taxes would reduce demand in the economy **D** - is incorrect as this would increase unemployment if income tax increases	**(1)**

Question Number	What would be the number of tractors sold in February 2021? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **C** 322,898 **A** - is incorrect because 253,706 is 288,302 minus 12% **B** - is incorrect because 300,302 = 288,302 + 12, 000 **D** - is incorrect because 322,910 = 288,302 + 34,596 +12	**(1)**

Question Number	Which **one** of the following market research methods would the shop owner use? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **B** Primary research **A** - is incorrect as market segment is not market research **C** - is not correct as research and development as it is not market research **D** - is not correct as secondary research is data that has already been collected	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.ii in this mark scheme extract

Question Number	Define the term **public corporation.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of public corporation. • A business owned and controlled by the state/government **(1)**	**(1)**

Question Number	Define the term **qualitative market research.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of qualitative market research. • Information about attitudes, beliefs and intentions **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.ii in this mark scheme extract

Question Number	State **one** reason why it is important for *M&M* to motivate its employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business. • *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)** • More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)** **NB** Do not accept a reason that is not in the context of *M&M.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places, the percentage increase from 2019 to 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 900 – 448 = 452 **(1)** 452/448 x 100 = 100.89 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.ii in this mark scheme extract

Question Number	Explain **one** advantage of becoming a multinational business. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)** • Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.ii in this mark scheme extract

Question Number	Analyse the disadvantages to *M&M* of using social media. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Negative comments can be put on social media about the quality of *M&M*'s tractors • Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made **AO3** • The comments could be made by a disgruntled customer and the comments might not be true • This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars	**(6)**

Type MS · Sources of finance and why businesses need finance

Answer 43 of 47 · Question 1 part a.ii · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Question Number	State **one** non-financial objective for *M&M*. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 44 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 44 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 44 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 44 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 44 of 47 · Question 1 part a.v · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.i in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.i in this mark scheme extract

Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.i in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.i in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Sources of finance and why businesses need finance

Answer 45 of 47 · Question 1 part a.i · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.i in this mark scheme extract

Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	**Mark**

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part a.vi in this mark scheme extract

Question Number	Define the term **public corporation.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part a.vi in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part a.vi in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part a.vi in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Sources of finance and why businesses need finance

Answer 46 of 47 · Question 1 part a.vi · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part a.vi in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	Mark

Type MS · Sources of finance and why businesses need finance

Answer 47 of 47 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 47 of 47 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.ii in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Sources of finance and why businesses need finance

Answer 47 of 47 · Question 1 part a.ii · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.ii in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

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Answer 47 of 47 · Question 1 part a.ii · 1 mark

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Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

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Answer 47 of 47 · Question 1 part a.ii · 1 mark

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Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Answer 47 of 47 · Question 1 part a.ii · 1 mark

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Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark